

S&P Global Eurozone Composite PMI[®]

Eurozone business activity growth at eight-month high

July 2026

S&P Global Eurozone Composite PMI Output Index at 52.0 (Jun: 50.0). 8-month high.

S&P Global Eurozone Services PMI Business Activity Index at 51.7 (Jun: 49.4). 5-month high.

Output and new orders rise at strongest rates since last November as inflation cools

The July S&P Global PMI[®] survey signalled a revival of business activity and demand across the euro area as the third quarter of 2026 got underway. Output and new business volumes rose for the first time since earlier in the year, and at rates which were their fastest since last November. The service sector was instrumental to these improvements, posting renewed growth and thereby joining the manufacturing sector in expansion.

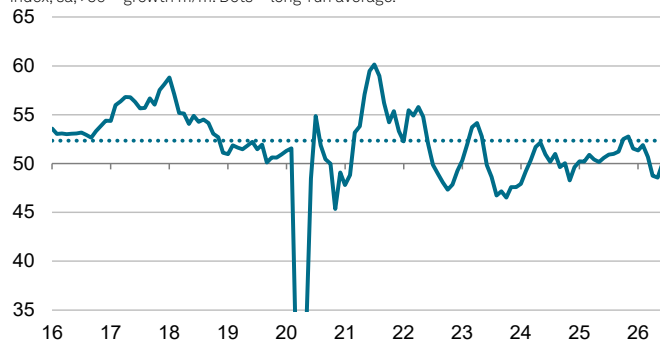
As for prices, there was a further cooling of pressures in July as rates of input cost and output charge inflation eased. Business confidence rose to a five-month high, but remained below the level seen immediately prior to the outbreak of the Middle East war.

The seasonally adjusted S&P Global Eurozone Composite PMI[®] Output Index – a weighted average of the Manufacturing PMI Output Index and the Services PMI Business Activity Index – crossed into expansion territory in July, increasing from the neutral mark of 50.0 in June to 52.0. In doing so, the headline index signalled growth of business activity for the first time since March and an increase that was the sharpest in eight months.

Crucially, July's expansion was broad-based, with services output growth combining with a sustained (and accelerated) uplift in manufacturing production. In terms of the country-level contributions to the latest eurozone's economic expansion, PMI data also revealed some breadth. Germany posted its first rise in private sector output since March, while both Italy and Spain saw stronger rates of growth. Spain stood out in particular, recording its best upturn in just over a year-and-a-half. France's continued (but slower) contraction made it an outlier.

Demand for euro area goods and services improved in July, marking the first monthly rise in sales volumes since February. A rebound in services new business combined with a slight pick-up in new factory order growth. Export* performances remained lacklustre, however, although the pace of decline in new business from external sources was

S&P Global Eurozone Composite Output PMI
Index, sa, >50 = growth m/m. Dots = long-run average.



Data were collected 9-28 July 2026.

Source: S&P Global PMI. ©2026 S&P Global.

Comment

Chris Williamson, Chief Business Economist at S&P Global Market Intelligence:

"July's final PMI adds to a picture of encouraging resilience of the eurozone economy amid the ongoing conflict in the Middle East, but also underscores how the business climate is being steered by the changing geopolitical landscape.

"A rise in the headline output index means the survey is signalling quarterly GDP growth of 0.3%, importantly reflecting an increasingly broad-based upturn. July saw the first significant increase in service sector activity since the outbreak of the war, adding to the sunnier summer picture from manufacturing, which has reported the largest increase in production for over four years.

"Business optimism also brightened in July, lifting to the highest since January. Sentiment has been buoyed by a combination of improving demand conditions, with new orders rising in July at the fastest rate since November, alongside the slowest growth of firms' costs since February.

"However, these improvements came on the tailwind of June's lower oil prices and easing tensions in the Middle East. With the conflict having since flared up again, we are seeing renewed downside risks to growth and upside risks to already-elevated inflation. The latter puts policymakers in more hawkish decision-making stance, though the marked drop in the PMI price gauges potentially provides a window for further rate hikes to be delayed until the outlook for inflation becomes clearer."

PMI[®]

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only marginal and the softest in just over a year.

Eurozone businesses continued to made backlog clearances at the start of the third quarter – a trend which has been ongoing for more than three years. Meanwhile, employment stabilised following a six-month run of net job losses.

Surveyed companies looked to the future with greater optimism as growth expectations improved for a third month in a row. Confidence remained below the level seen in February, immediately prior to the outbreak of the Middle East war.

Lastly, there was a further cooling of price pressures across the euro area in July as rates of both input cost and output charge inflation dropped. Operating expenses rose sharply overall, although the pace of increase fell to a five-month low. Prices set for euro area goods and services were lifted by the smallest margin since March. However, when compared with the survey average, the pace of output price inflation was elevated.

*includes intra-eurozone trade.

S&P Global Eurozone Services PMI

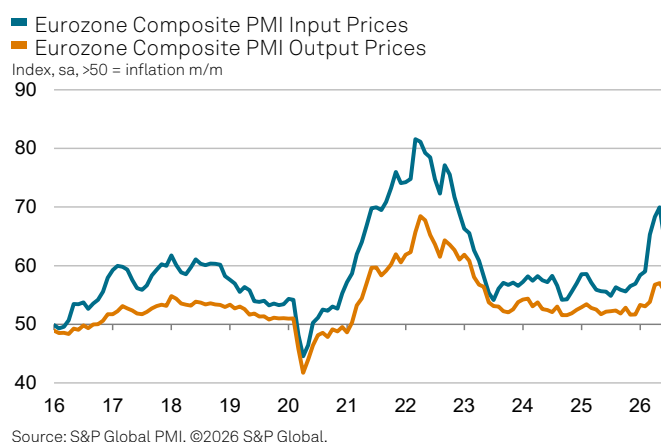
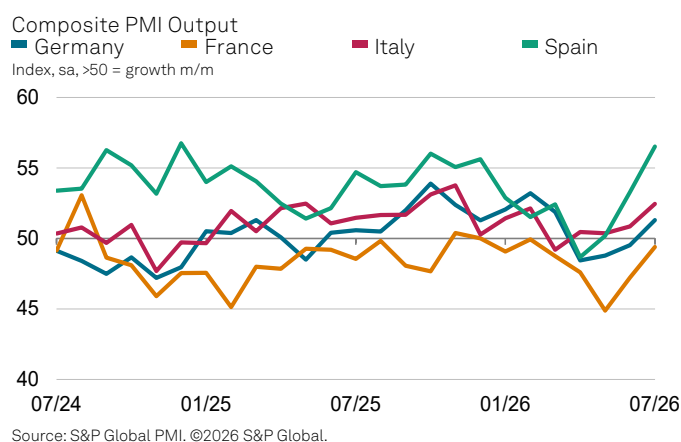
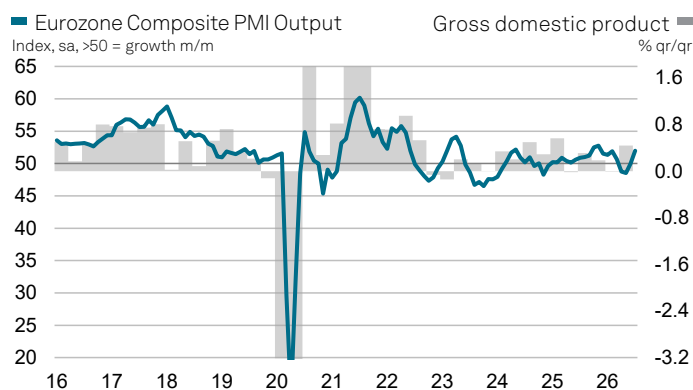
The S&P Global Eurozone Services PMI Business Activity Index rose from 49.4 in June to 51.7 in July. The rise into expansion territory ended a three-month spell of decline, with the upturn signalled the quickest since February.

Stronger demand conditions underpinned July's fresh business activity expansion. Sales growth was solid by historical standards, although a further (but weaker) decline in new export business suggested the expansion was domestic-driven.

Service providers continued to make inroads into their outstanding business volumes. Backlog depletion came in tandem with another mild increase in employment.

Meanwhile, there was only a fractional easing of inflationary pressures across the eurozone during July. Input cost and output prices did, however, rise at their slowest rates since February and March, respectively.

Looking ahead, eurozone services companies grew more optimistic towards the year-ahead outlook. Confidence hit a five-month high in July.



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Methodology

The S&P Global Eurozone Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of manufacturers and service providers in eight nations, totalling around 5,000 private sector companies. The panels are each stratified by detailed sector and company workforce size, based on contributions to each country's GDP.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each manufacturing and services survey variable, at the country level. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Eurozone level indices for manufacturing and services are calculated by weighting together the country indices using national manufacturing and services annual value added (source: Eurostat). Composite eurozone level indices are calculated by weighting comparable manufacturing and services indices using eurozone manufacturing and services annual value added (source: Eurostat).

The headline composite figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

Flash data were calculated from 88% of final responses. Since January 2006 the average difference between final and flash Composite PMI values is 0.0 (0.3 in absolute terms). Flash services data were calculated from 82% of final responses. Since January 2006 the average difference between final and flash Services PMI Business Activity Index values is 0.1 (0.3 in absolute terms).

For further information on the PMI survey methodology, please contact economics@spglobal.com.

S&P Global

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